

management, saying, “The biggest principle Larry pushes is that you are not a trader; you are a risk manager.” He recounts Benedict’s advice on risk control: “Never stay in a losing trade because you think it will come back. Minimize the loss. Accept the loss and walk away from it. The worst thing any trader can do is freeze. You need to know how you will respond in any situation. How are you going to not lose money while making money? How are you going to get out of your losers? How are you going to keep your winners from turning into losers?”

Trades should be motivated by opportunity. Traders should caution against trading out of a desire to make money. In late 2010, Benedict pushed to reach his target for a minimum annual return. By doing marginal trades he would not otherwise have taken, he only succeeded in falling further short of his target.

¹A short straddle is a combined short call and short put position. A short straddle will make money (all or part of the premium received for selling the options) if the market trades within a moderate price range. It is, effectively, a bet that the market will not be volatile. If the market, however, witnesses a sharp swing in either direction, the short straddle position can be subject to large losses. The maximum profit on a short straddle position is limited to the premium received. The maximum loss, however, is not merely unlimited, but accelerates exponentially if there is a large price move in either direction.

²Marty Schwartz is a trader I interviewed in *Market Wizards* (New York: New York Institute of Finance, 1989).